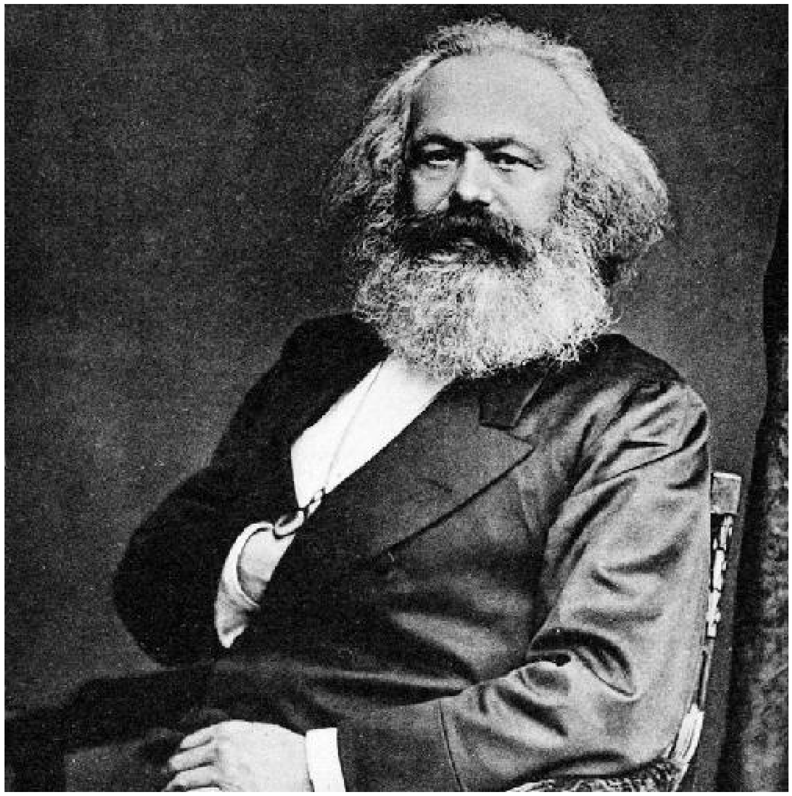
Marxist economics



For Karl Marx, capitalism was a dynamic and innovative economic system, an advance on the earlier feudal economy. However, he argued it contained flaws that would eventually lead to its collapse. Under capitalism, capital owners hire workers, and Marx said that the value of a good resides in the labour used to make it. For capitalists to earn profit, they must extract a surplus above this value – hence workers get exploited through low wages and the threat of unemployment. Profits are also driven by technology and the division of labour: under capitalism the worker no longer produces a rug in his cottage, but spends his days loading spools onto factory looms. This is ‘alienated labour’: capitalist work saps people’s creativity and undermines human connection. Marx predicted that conflict between workers and capitalists would eventually lead to the overthrow of capitalism and establishment of communism.

Despite the collapse of the communist states, elements of Marx’s thinking and his linking of the economic, social and political spheres remain influential to this day.